GLOBAL INTELLIGENCE

Daily Intelligence Report

Saturday 07 November 2026 · 12:22 Italy time

348 news items scanned · 0 web lookups

At a Glance

- **Strong US jobs data raises the odds of a Fed hike:** US employers added 165,000 jobs in October against about 65,000 expected, and unemployment fell to 4.1%. CME FedWatch (futures pricing) shows about a 77% chance of a December rate rise. This is market pricing, not a Fed decision.
- **Oil and gas fall on hopes of a US-Iran deal:** Brent closed near $98, down about 16% on the week, and Dutch TTF gas fell 5.5% to about €85/MWh. The hopes rest on one unnamed diplomat quoted by Bloomberg. No deal is signed and Hormuz stays closed.
- **Europe fears a US-Russia security bargain:** The Financial Times reports officials worry Washington could strike a deal with Moscow that weakens NATO. Trilateral talks open in Abu Dhabi on 10-11 November, and Europe is not at the table.
- **Russia hits Kyiv's energy sites again:** Ballistic missiles struck Kyiv and its region overnight, damaging Naftogaz facilities and killing at least one civilian. Ukraine keeps striking Russian refineries.
- **Two-horse race to lead the ECB:** Klaas Knot (Netherlands) and Pablo Hernández de Cos (Spain) are the only nominees to succeed Lagarde. Eurogroup ministers review the names on Monday 9 November.
- **US-China tension before the Trump-Xi summit:** Washington says Beijing is not meeting its Busan commitments on rare earths and farm purchases. China's Commerce Ministry reserves the right to retaliate against new US sanctions. APEC in Shenzhen is on 18-19 November.

- **AI shock still echoing:** The S&P 500 fell 4.36% on Thursday on fears of tougher AI rules. Friday brought a partial rebound, and OpenAI closed $11bn of a round at a $1.25tn valuation, below its original target.
- **Paraguay's president is ousted after a bank collapse:** The Senate voted unanimously to impeach Santiago Peña after the takeover of Ueno Bank, which left about three million customers cut off from their money. He is under house arrest, and Vice President Pedro Alliana takes over.
- **South Africa's ANC posts its worst local result:** It has about 32% against 24% for the DA, which strains the national coalition.
- **Pro-Russian hackers target Italy's foreign minister:** NoName057(16) listed Antonio Tajani among 18 "enemies" and published private data. Rome prosecutors have opened an investigation.
- **Italian budget and bills:** The €26bn 2027 budget heads to parliament amid a League revolt. Confcommercio reports sharply higher business energy costs.

Contents

What It Means for You in Italy 4
Markets Dashboard 5

I. Europe & Italy

Italy 8
European Union 10
Italy in the EU & PNRR 12
Across Europe 13

II. Great Powers

United States 15
China 17
Russia & Ukraine 18

III. World Regions

Middle East & Gulf 21
Indo-Pacific 22
BRICS+ & Global South 24
Africa 25
Latin America 26

IV. Security, Technology & Space

Defence & Security 29
Cyber & Information Warfare 31
Fact Check 32
Technology & AI 34
Space 36

V. Economy, Markets & Energy

Global Economy & Central Banks 38
Markets & Finance 39
Trade, Tariffs & Sanctions 41
Energy & Critical Minerals 42

VI. Outlook

Market Implications 44
Market Opportunities & Risks 45
Country of the Day 46
How Others See It 48
Scenarios 50
What to Watch 51
Explained 52
Glossary 54

What It Means for You in Italy

- **Gas and electricity bills:** Codacons puts the average winter household gas bill at about €860 at current prices, from €487 in Sicily to €1,300 in Valle d'Aosta, and expects tariffs to rise. Friday's TTF drop to about €85/MWh may ease this, but only if the Iran hopes hold. A "Bollette bis" decree could include a €58.9/MWh gas cap that Confcommercio says might cut bills by up to 10%. The decree text is not final.
- **Fuel:** Brent is down about 16% on the week, so pump prices could ease with a lag. A collapse in the Iran talks would reverse that quickly.
- **Mortgages and loans:** The ECB's deposit rate is 2.50%, and Lagarde has said December will decide on a rise. The next meeting is 17 December. A hike would push up variable-rate mortgages and loans. Nothing changes before then.
- **Prices and inflation:** Lagarde's remarks, as reported, put euro-area inflation near 4%, and Italian inflation is above 5%, driven by energy. Lower gas prices would help, but it is too early to see it in shops.
- **Savings and BTPs:** The ten-year BTP yields 4.32% and the spread over Germany is 107 basis points. That is a decent return for savers in short-dated bonds. Long bonds lose more value if rates rise further.
- **Jobs and business:** Bars paid 133% more for electricity in the third quarter, hotels 68% and large retailers 67%, Confcommercio says. Margins and prices at bars and hotels are under pressure.

- **Taxes and budget:** The budget, worth about €26bn according to Meloni, must pass by 31 December. It includes over €5bn from banks and insurers and a higher financial transactions tax. Individual household measures are not detailed in our reports.
- **Travel:** Bomb hoaxes hit flights on 3-4 November, and an Italian Air Force jet escorted a Ryanair flight into Rome. No explosives were found. Expect occasional disruption and tighter security.

Markets Dashboard

Europe	Last	Day	Week
Euro Stoxx 50	6,170.49	-0.98%	+0.64%
FTSE MIB (Italy)	50,053.00	-0.90%	+1.12%
DAX (Germany)	25,820.36	-1.92%	+0.01%
CAC 40 (France)	8,139.00	-0.81%	+2.13%
IBEX 35 (Spain)	19,369.50	-0.60%	+3.84%
FTSE 100 (UK)	10,673.90	-1.01%	-0.52%

Americas	Last	Day	Week
S&P 500	7,376.86	+0.31%	-2.68%
Nasdaq 100	26,989.99	+1.35%	-4.91%
VIX (US volatility)	25.64	-9.01%	+32.03%
Bovespa (Brazil)	168,499.00	+1.39%	-0.41%

Asia	Last	Day	Week
Nikkei 225 (Japan)	57,434.77	-5.96%	-11.17%
CSI 300 (China)	4,054.28	–	–
Hang Seng (Hong Kong)	24,481.86	-1.27%	+5.10%
KOSPI (South Korea)	5,059.69	-6.02%	-11.71%
Taiex (Taiwan)	39,701.64	-4.51%	-12.19%

Asia	Last	Day	Week
Nifty 50 (India)	25,030.35	+2.01%	+8.58%

Rates	Last	Day	Week
US 10Y yield (%)	4.8590	+0.45%	-1.42%
US 2Y yield (%)	4.7750	+0.00%	+4.42%

Currencies	Last	Day	Week
EUR/USD	1.1228	-0.06%	+0.41%
EUR/GBP	0.8344	+0.09%	-0.17%
EUR/CHF	0.9156	-0.18%	-0.58%
EUR/CNY	7.4142	-1.27%	-0.23%
US Dollar Index (DXY)	102.30	+0.74%	+0.41%
USD/JPY	158.43	+0.59%	+0.47%
USD/CNH	6.6717	–	–
USD/RUB	81.49	-0.37%	+0.30%
USD/INR	93.91	-0.58%	-1.05%
USD/BRL	5.4959	-0.14%	+1.12%
USD/TRY	50.15	+0.23%	+0.42%
Bitcoin ($)	75,838.43	+0.12%	-1.09%

Commodities	Last	Day	Week
Brent ($/bbl)	98.32	+0.03%	-16.42%
WTI ($/bbl)	90.83	+0.34%	-12.76%
Dutch TTF gas (EUR/MWh)	85.59	-5.61%	-17.66%
Gold ($/oz)	4,074.90	-0.94%	+4.51%
Silver ($/oz)	51.80	-0.82%	+5.51%
Copper ($/lb)	6.2180	-0.50%	-3.72%

Commodities	Last	Day	Week
Wheat (c/bu)	591.25	-1.34%	-2.03%

Delayed exchange quotes, last daily close (Yahoo Finance). Prices, not policy facts.

I Europe & Italy

Italy

The mood in Rome is nervous. The League's internal fight and high energy costs are the two main domestic pressures, with the 2027 budget as the backdrop. None of it currently threatens the Meloni coalition.

League revolt: attempt to remove Senate leader Romeo

The League is trying to remove Massimiliano Romeo as its Senate group leader. Avvenire reports that almost all of the party's 29 senators signed against him. Another report puts the signatures at 25 of 29, so the exact count is disputed. I found no confirmed outcome of the group meeting or any resignation.

Why it matters: Romeo is secretary of the Lombard League and is seen as close to Economy Minister Giancarlo Giorgetti. He backed Massimo Garavaglia against Matteo Salvini in the party's leadership contest (Il Foglio, 23 October). Opposition parties say the League has put Giorgetti "under trusteeship", which is their reading of events and not an established fact.

Watch: whether Romeo resigns or the group votes, and any sign that Giorgetti's budget line is contested.

Sources: Avvenire, QDS, Il Foglio

Foreign Minister Tajani says his data was leaked on the dark web

Antonio Tajani said criminals had published his and his family's personal data on the dark web. He announced it on X on 7 November. He ties the attack to Italy's support for Ukraine and said: "Non mi farò intimidire in nessun modo." ANSA does not name the attackers or say whether prosecutors are investigating.

Why it matters: The Farnesina has faced pro-Russian hacking before. In February, Tajani confirmed Russian-linked attacks on Italian embassies and the Milano-Cortina Olympic sites. In September he warned that Moscow might try to interfere in Italy's elections.

Sources: ANSA, Agenzia Nova

Energy bills: businesses and households squeezed

Confcommercio, the retail and services lobby, says companies in the sector spent €3.8bn on electricity in the third quarter. Bars saw bills rise 133%, hotels 68% and large retailers 67%. Gas spending for the sector was €788m, up 72.7% on the year. Separately, the consumer group Codacons says a typical household's winter gas bill at current prices is about €860. That is €1,300 in Valle d'Aosta and €487 in Sicily, and Codacons expects tariffs to rise.

Confcommercio says a "Bollette bis" decree may include a gas price cap of €58.9 per megawatt-hour. It estimates this could cut bills by up to 10%, but says it cannot replace structural reform of how electricity prices are set.

Market impact: The TTF benchmark gas price in Amsterdam fell 5.5% to about €85/MWh on Friday. Traders are betting on an end to the US-Iran conflict. New York crude closed at $90.83, up 0.34%.

Watch: the cabinet text of the decree, and whether the cap is conditional or fixed.

Sources: ANSA, ANSA, ANSA

Markets: stocks slide, spread tightens

The BTP-Bund spread, the yield gap between Italian and German 10-year bonds, closed Friday at 107.4 basis points, lower on the day. The Italian 10-year yield fell to 4.32%. European stocks ended lower. Frankfurt was worst, down 1.92%, and Paris lost 0.81%. Milan was down about 1% to 1.2% during the session. I do not have its closing figure. The sell-off followed the global AI-stock rout covered in earlier editions.

Watch: Monday's Eurogroup meeting, and the ECB's 17 December decision.

Sources: ANSA, ANSA

Budget 2027 heads for parliament

The government has approved the 2027 budget bill. Meloni has described it as worth about €26bn, against the €23.5bn in the draft plan sent to Brussels on 15 October. Parliament must pass it by 31 December to avoid provisional budgeting. Meloni has cited over €5bn from banks and insurers, plus a higher financial transactions tax. I could not confirm which chamber is examining it today.

Sources: PMI.it, Orizzonte Scuola

European Union

The main story is the race to replace Christine Lagarde at the European Central Bank (ECB). Security worries and a possible US-Russia deal are also pressing on Brussels.

Two-horse race for ECB president

The deadline for nominations passed at 17:00 on 6 November. The Eurogroup, the euro-area finance ministers' forum, received only two names. They are Klaas Knot of the Netherlands and Pablo Hernández de Cos of Spain, both former heads of their national central banks. The ministers will review the names on Monday 9 November, and EU leaders take the final decision. Lagarde leaves on 7 February 2027, according to our earlier edition.

Bloomberg reports that de Cos said policymakers should stay vigilant on inflation risks from high energy prices. This matters because Lagarde has said the ECB may raise rates again in December, with euro-area inflation near 4%.

> **Background — how the ECB president is chosen:** Euro-area governments nominate, the Eurogroup gives an opinion, and the European Council picks by qualified majority. The European Parliament is consulted and the choice is then formalised. The post is an eight-year, non-renewable term.

For Europe & Italy: Italy has not put forward a candidate. As a heavily indebted country, it has an interest in who sets rates and how the ECB treats bond-market stress. Markets read a Dutch candidate as more hawkish and a Spanish one as more centrist, but that is analyst opinion and not a fact.

Watch: the Eurogroup on 9 November and the 17 December ECB meeting.

Sources: Bloomberg, Bloomberg, Il Sole 24 Ore, Politico Europe

Europe alarmed by a possible US-Russia security deal

The Financial Times reports that European officials fear Washington could strike a deal with Moscow that weakens NATO and restores a Russian sphere of influence. The Japan Times reports that European governments insist Vladimir Putin must end the war before his security concerns are discussed. That risks putting them at odds with the US. President Donald Trump said on 6 November that "we are making a lot of progress" with Russia and Ukraine. Talks are due in Abu Dhabi on 10-11 November, per our earlier edition. Germany's defence minister, Boris Pistorius, sees little hope of an early ceasefire (Handelsblatt).

Watch: the Abu Dhabi talks and any European leaders' statement.

Sources: FT, Japan Times, ANSA, Handelsblatt

Bomb hoaxes: investigators look at Russia

The FT reports that European security agencies are investigating whether a wave of coordinated bomb threats began in Russia. The working hypothesis is that pro-Kremlin activists or hacking groups produced them. I could not open the full article, so I cannot give the targets or countries.

Sources: FT

Competitiveness and climate

- **Chips:** Onsemi has scrapped a Czech semiconductor expansion once valued at up to $2bn (Bloomberg). It is a setback for the EU's goal of a bigger chip industry.

- **Climate:** The EU's Copernicus climate service says October was the warmest on record, 1.75C above pre-industrial levels. It says 2026 is "virtually certain" to exceed 1.5C of warming (FT).

Sources: Bloomberg, FT

Italy in the EU & PNRR

Brussels is the key audience for Italy's budget and for the final payment of its recovery plan. Italy remains in the EU's excessive deficit procedure, the process for countries that breach the 3%-of-GDP deficit limit.

Deficit procedure and the Commission's budget opinion

Italy missed an early exit from the procedure. Istat put the 2025 deficit at 3.1% of GDP, just above the limit (Brussels Signal). The Bank of Italy has warned that deficits above 3% in 2027 and 2028 could complicate an exit. The Commission's spring forecast saw 2.9% for 2027, while a Reuters report on Italy's own plan cited 3.4%, so the two figures differ. The Commission normally issues opinions on draft budgets in late November. Last year's was on 25 November, and it was positive.

Watch: the Commission's opinion on Italy's 2027 plan, and the Eurogroup on 9 November.

Sources: Brussels Signal, Euronext/Reuters, Eunews

PNRR tracker

Nothing new moved in the last 24 hours. Italy's PNRR is its share of the EU recovery fund. The Commission paid the ninth instalment, €12.8bn, on 3 June 2026, which brought total payments to about €166bn, roughly 85% of the plan. Italy sent its tenth and final request on 29 September. It is worth €28.4bn and tied to 156 milestones and targets. Minister Tommaso Foti says all of the plan's 576 targets have been met. The EU's payment deadline is 31 December 2026, and the Commission has not yet published its assessment.

Item	Status	Next step
9th instalment (€12.8bn)	Paid 3 June 2026	Complete

Item	Status	Next step
10th and final instalment (€28.4bn)	Requested 29 September	Commission assessment, then payment before 31 December
Plan revisions	Final revision adopted in summer 2026	None expected

Sources: Eunews, Teleborsa, Agenzia Nova

Across Europe

Germany

Chancellor Friedrich Merz is expected to propose Ilse Aigner of the Bavarian CSU as federal president. She is 61 and the president of the Bavarian state parliament. The CDU leadership meets Sunday and Monday, and her candidacy should become official Monday. The Federal Assembly votes on 30 January 2027, and the Christian Democrats and the SPD have a majority of about 50 votes. SPD chair Lars Klingbeil backs her. The AfD and the Left oppose her, and the Greens criticised the process as unprofessional.

Bavaria's deputy minister-president Hubert Aiwanger died on 4 November, aged 55. He was found dead in a Berlin hotel. His Free Voters party will not choose a successor yet.

Pistorius said "we need strong armed forces" after youth protests, partly against conscription. Germany's military service law, in force since January, is voluntary. He expects a decision on a fighter-jet alternative after the failed FCAS project by end-March 2027. The options are Britain's GCAP programme or an Airbus-led project. The DAX fell 1.92% on Friday.

Sources: Handelsblatt, Handelsblatt, ZDFheute

France

Presidential candidates are staking out positions on the EU ahead of next year's election. Marine Le Pen briefed ambassadors from France's neighbours over lunch on her EU agenda (Politico Europe). Jean-Luc Mélenchon's platform says his plan "will require a confrontation with European institutions". The CAC 40 lost 0.81% on Friday.

Sources: Politico Europe, Politico Europe

Spain and the Netherlands

Madrid nominated Pablo Hernández de Cos for the ECB presidency. The Netherlands had already nominated Klaas Knot.

Sources: Handelsblatt

United Kingdom

The FT reports that Volodymyr Zelensky will receive a UK state visit in 2027, to mark five years since Russia's full-scale invasion.

Sources: FT

Czechia

Onsemi dropped its planned Czech chip expansion, once valued at up to $2bn (see European Union).

Finland

Finland is considering Ukraine-style anti-tank barriers as Russia rearms. It wants to test how they perform in harsh northern weather (Bloomberg).

Sources: Bloomberg

II Great Powers

United States

Democrats won both chambers of Congress on 3 November, according to AP race calls reported by NPR. In the House they had 228 seats called by early Wednesday, with some races still open. In the Senate they flipped seven Republican-held seats, and Mississippi was still being counted. Trump has said he will block Democratic legislation.

Wiles out, Stephen Miller in as chief of staff

On Friday Trump named Stephen Miller White House chief of staff, starting Monday 9 November. He replaces Susie Wiles, who is moving to Trump's political operation. AP reported that she submitted her resignation on Thursday. Miller is the architect of Trump's hard-line immigration policy. Coverage ties the change to the midterm defeat. Trump, speaking in Florida, tried to move on from the loss by promoting plans for a new US air show.

Why it matters: The chief of staff controls access to the president and the flow of decisions. Putting a policy hardliner in the job suggests a more ideological White House facing a hostile Congress. Joe Manchin, the former Democratic senator, warned on Bloomberg that Democrats risk overplaying their hand if they prioritise impeachment. He urged them to pass legislation on tariffs and officials profiting from office instead.

Watch: Miller's first appointments and the new House leadership's first agenda.

Sources: Al Jazeera, NPR, Bloomberg, Bloomberg video

Strong jobs data makes a December Fed hike more likely

Il Sole 24 Ore reports that US employers added 165,000 jobs in October, against a consensus of about 65,000. Unemployment fell to 4.1% from 4.2%. Wages rose 3.1% year on year. August and September were revised up by a combined 84,000. Third-quarter GDP grew at a 3.4% annualised rate, driven by consumer spending and AI-related investment.

Why it matters: The Fed's policy rate is 3.75%–4.00%. Because the labour force is shrinking, the economy needs only about 40,000 jobs a month to keep pace, so 165,000 points to overheating. CME FedWatch, which tracks futures pricing, shows about a 77% chance of a December hike, up from about 67% days earlier. That is market pricing, not a Fed decision.

For Europe & Italy: Higher US rates can strengthen the dollar and push up global borrowing costs. They add to the pressure on the ECB, which is also weighing a December hike.

Market impact: Chip stocks rebounded on Friday after Thursday's AI rout, even as the data reinforced rate-hike bets.

Watch: US October CPI on Tuesday 10 November.

Sources: Il Sole 24 Ore, Bloomberg

Washington accuses Beijing of breaching the Busan trade deal

Treasury Secretary Scott Bessent and US Trade Representative Jamieson Greer spoke with China's Vice Premier He Lifeng. They said China must "immediately" meet the commitments it made in Busan, South Korea, a year ago. The FT reports they cited too little supply of rare earths and other critical products, and Japan Times adds agricultural purchases. Handelsblatt says both sides are accusing each other of violations.

Why it matters: A truce runs to 10 January 2027. Trump and Xi are due to meet at the APEC summit in Shenzhen on 18-19 November and at the G20 in Miami on 14-15 December.

For Europe & Italy: Italian manufacturers depend on Chinese rare earths too, so a new squeeze would hit the same supply chains.

Watch: Whether the Shenzhen meeting goes ahead on schedule.

Sources: FT, Bloomberg, Handelsblatt

Congress and tariffs

Japan Times reports that curbing Trump's tariff powers will be hard and could split both parties. Bloomberg's Ian Bremmer argues the shift towards tariffs and industrial policy will outlast the election.

Sources: Japan Times

China

Beijing is pressing ahead with its trade diplomacy and military reshuffle while admitting that domestic demand is weak. October trade and price data should arrive around 9-10 November.

Washington presses Beijing, Beijing threatens to retaliate

China's Commerce Ministry said on Saturday that it strongly opposes new US sanctions on two Chinese companies over their dealings with a third party. It reserves the right to take "necessary measures". This follows the call in which Bessent and Greer accused He Lifeng of failing to deliver on Busan.

Why it matters: The sanctions and the compliance dispute come ahead of the Trump-Xi meeting at APEC in Shenzhen on 18-19 November. Such ministry statements are Beijing's official position, not independent fact. Its past "necessary measures" have included listing US entities and suspending inspections.

Watch: Any Chinese countermeasure list before Shenzhen.

Sources: Bloomberg, Japan Times

Weak demand is the economy's stated problem

China's National Development and Reform Commission (NDRC), the state planner, said in a Friday statement that weak demand is a challenge. Policymakers are studying measures for next year. Separately, the central bank extended its gold-buying streak to two years in October, even as gold fell almost 7% to below $4,000 an ounce. In copper, Trafigura is buying heavily as Chinese supplies run low and Asian spot premiums hit records.

Market impact: Copper premiums are at record highs, which signals tight physical supply. Gold ended October below the $4,000 support level.

Sources: Bloomberg, Bloomberg, Bloomberg

Xi rebuilds the military command

Xi has promoted Zhang Shengmin, described as a military "hatchet man", to be the Politburo's only military member. Japan Times says this comes as Xi prepares for the army's centenary in August 2027. The reshuffle follows the earlier removal of senior generals.

Sources: Japan Times

Technology and espionage

The NYT, via Bloomberg and the FT, reports that US intelligence told the administration a woman close to Nvidia's chief executive Jensen Huang was recruited by China's Ministry of State Security. These are unconfirmed reports citing US officials. Beijing blocked the SoftBank-ABB robotics deal, and the companies are weighing a carve-out of the Chinese part to save it. Japan Times says Japan and China, one year into their political row, are shifting towards selective economic dependence.

For Europe & Italy: Beijing's willingness to block foreign deals is a risk for European groups with Chinese exposure.

Sources: Bloomberg, FT, Bloomberg, Japan Times

Russia & Ukraine

Diplomacy and bombardment are running side by side. Trump says a deal is close, Germany's defence minister is sceptical, and Russia hit Kyiv again overnight. Ukraine is keeping up its strikes on Russian oil.

Trump claims progress as Russia strikes Kyiv

Trump said on Friday, per ANSA, that the US is "making a lot of progress", that Russia and Ukraine "for the first time want to reach an agreement", and that he has meetings on Monday and Tuesday. Three-way talks are due in Abu Dhabi on 10-11 November. German Defence Minister Boris Pistorius said recent months give "little hope" of a ceasefire soon, and that it depends on Putin and Trump's approach. Overnight Russia fired ballistic missiles at Kyiv and its region. Bloomberg reports at least one civilian killed and damage to Naftogaz facilities. Mayor Vitali Klitschko reported hits to residential buildings and outages

affecting heating and water. Russia's Defence Ministry said it hit the Northern Bridge and the Meridian plant, which it says makes Flamingo cruise missiles, plus a power plant and a munitions factory.

Why it matters: Winter strikes on heating and power are meant to wear down Ukrainian resistance. Ukraine says its refinery strikes are a response.

Watch: The Abu Dhabi talks.

Sources: ANSA, Handelsblatt, Bloomberg

Europe fears a US-Russia security bargain

The FT reports that European officials fear Washington could strike a deal with Moscow that undermines NATO and restores a Russian sphere of influence. Japan Times reports that Europeans insist Putin end the war before discussing Russia's security concerns. That risks putting them at odds with the US.

For Europe & Italy: The question is whether Europe has a seat at the table on the continent's security.

> **Background — the Abu Dhabi format:** The US has hosted trilateral talks with Russian and Ukrainian delegations in Abu Dhabi since early 2026. Europe is not at the table.

Sources: FT, Japan Times

Russia's economy: refineries, a hack and the Arctic

Zelensky said Ukraine's strikes on Russian oil refining continue; a drone set fire to an industrial site at Afipsky, in the Krasnodar region, where a refinery stands. Russia's statistics agency Rosstat was hit by a major cyberattack, and Bloomberg says major economic reports will be delayed through at least 13 November. The FT reports Russia will ship pig iron through Murmansk for the first time in 30 years to avoid Ukrainian strikes in the Black Sea.

Sources: Bloomberg, FT

Other developments

- Ukraine's military intelligence says Russia is already using its Rassvet satellite network, billed as a homegrown Starlink, for military communications over Ukraine.
- European agencies are probing whether coordinated bomb hoaxes began in Russia, possibly with pro-Kremlin activists or hacking groups.
- Zelensky will receive a UK state visit in 2027, marking five years since the full-scale invasion.
- Finland is considering Ukraine-style anti-tank barriers.

Sources: Defense News, FT, FT, Bloomberg

III World Regions

Middle East & Gulf

The US-Iran track is the main story, and oil and gas prices are trading on it. Hormuz remains closed, according to the previous edition. Nothing verified from the last 24 hours changes the picture in Israel, Gaza, Lebanon, Turkey or Iraq.

Iran says its army is stronger and will answer any attack "without geographic limits"

Iranian officials said overnight that the army is stronger than at the start of the war. They said Iran would respond to any attack "immediately and without geographic limits" (ANSA). This follows Bloomberg's report, from one unnamed diplomat, that Tehran now accepts discussing nuclear issues it had previously ruled out. CBS News reported earlier that Iran played down hopes of a deal after fresh US strikes on the eve of the US midterms.

Why it matters: Both sides signal readiness for a deal and for escalation at once. After the midterms, President Trump faces fewer domestic constraints. Australia's Albanese publicly urged de-escalation. An FT commentary argues that Trump's defeat points to a US retreat that could shift the regional balance of power and favour China.

For Europe & Italy: Italian inflation is above 5%, driven by energy, according to Lagarde's remarks reported yesterday. A reopening of Hormuz would ease that pressure.

Market impact: The Dutch TTF gas benchmark fell 5.5% on Friday to about 85 euros per megawatt-hour, as traders bet on an end to the US-Iran conflict (ANSA). Brent was about $98 in the last edition, down 16% on the week. Both would reverse if talks collapse.

Watch: Whether Qatar's mediation produces a formal text, and whether the US strikes again.

Sources: ANSA, ANSA Economia, Japan Times, CBS News, Bloomberg, FT

Saudi Arabia signs its first defence cooperation deal with Syria's new leadership

The Saudi and Syrian defence ministries signed a cooperation agreement around 4 November, according to Saudi state agency SPA as relayed by Reuters. It came during an unannounced visit to Riyadh by Syrian President Ahmed al-Sharaa, who met Crown Prince Mohammed bin Salman. The text has not been published. One expert told Breaking Defense it will likely cover training, intelligence sharing, equipment transfers and help rebuilding Syria's armed forces.

Why it matters: Riyadh is pulling Damascus into its orbit as its war against Yemen's Iran-aligned Houthis escalates. Reuters reported last month that Syria was weighing military help for Saudi Arabia.

> **Background — Syria's new leadership:** Sharaa leads Syria's post-Assad government. Gulf states and Turkey are competing to back it with money, training and arms. Both are trying to reduce Iranian influence there.

Watch: Publication of the terms, and any Syrian role in the Yemen fighting.

Sources: Breaking Defense, Reuters via Internazionale

Ex-OpenAI employee pleads not guilty to spying

Abdulrahman Alfozan, a Saudi national, pleaded not guilty. He was arrested last month after a bug was found in the AI lab's office (FT).

Why it matters: The case ties Gulf-US AI partnerships to concerns about security and espionage.

Sources: FT

Indo-Pacific

Asia is digesting Thursday's AI-driven sell-off, which was covered earlier. Trade and security signals from Washington, Beijing and Tokyo dominate.

US presses China on its Busan commitments before two Trump-Xi summits

Treasury Secretary Scott Bessent and US Trade Representative Jamieson Greer spoke with Vice Premier He Lifeng. They raised concerns about Beijing's recent actions and stressed implementing the deal struck a year ago in Busan, South Korea (Bloomberg). Washington wants progress on rare earths and agricultural purchases. Trump and Xi are expected to meet at two summits, one in China and one in the US (Japan Times).

Why it matters: China's export controls on rare earths are the main lever in this relationship. The US is publicly signalling doubts about compliance before the leaders meet.

Market impact: In China, the planning agency NDRC flagged weak demand as a challenge. Trafigura is buying copper in Asia, and spot premiums for cargoes are at record highs (Bloomberg).

Watch: Dates for the summits.

Sources: Bloomberg, Japan Times, Bloomberg

Xi promotes a military enforcer

Zhang Shengmin becomes the Politburo's sole military member. Xi is rebuilding the army command ahead of the People's Liberation Army's centenary in August 2027 (Japan Times).

Why it matters: It shows how far the purge of senior officers has reshaped the leadership, with Taiwan planning in mind.

Sources: Japan Times

Japan: a ¥370 trillion investment list, a cautious BOJ, and ICC sanctions

Tokyo picked 28 priority items from 62 products and technologies for ¥370 trillion in investments, including semiconductors and AI. Bank of Japan Governor Ueda said inflation has reached 2% but it is unclear how long it will last, and it is not yet embedded among the public (Bloomberg). Separately, Japan is considering paying its ICC contribution early. US sanctions, if fully implemented as early as April, could cut the court off from dollar settlements. Japan and China are

shifting towards "selective" economic dependence one year into their political row. After a robbery-murder in Okinawa, both governments agreed on education programmes for US troops.

Market impact: The yen and Japanese government bonds are sensitive to any BOJ hint on timing.

Sources: Japan Times, Bloomberg, Japan Times, Japan Times, Japan Times

South and Southeast Asia

- **Malaysia:** The king said there is "no ambiguity" in his pardon letting ex-PM Najib Razak serve the rest of his sentence at home, and warned that challenging it defies his authority. The attorney general's office wants implementation delayed pending review (Bloomberg).
- **India:** Markets hold a special shortened session on Sunday for Diwali (Bloomberg). Indian and Singaporean courts froze the assets of a telecoms entrepreneur accused of a private credit fraud (FT).

Sources: Bloomberg, Bloomberg, FT

BRICS+ & Global South

The bloc's members are pulled in different directions by the Iran war, US tariffs and domestic politics. Nothing was announced by the bloc itself in the last 24 hours, and I found no new news on the New Development Bank or de-dollarisation.

South Africa's ANC records its worst local result

With counts near complete, the ANC has about 32% in the 4 November municipal elections and the Democratic Alliance about 24% (Il Sole 24 Ore). The ANC polled 45.6% in the 2021 local elections. Details are in the Africa section. The result adds strain to the ANC-DA coalition government in Pretoria.

Why it matters: South Africa is the BRICS member that most openly governs by coalition. A weaker ANC may limit its room for bold foreign-policy gestures.

Sources: Il Sole 24 Ore

Brazil's finance minister pick and a corporate debt scare

Bloomberg reports that Lula will likely choose Brazil's next finance minister from his inner circle, trying to reassure sceptical investors without abandoning his leftist line. Braskem's owners withdrew a capital injection offer as talks with creditors on an out-of-court debt restructuring soured.

Market impact: Brazilian assets are sensitive to the pick. Braskem's bonds are exposed if the talks fail.

Sources: Bloomberg, Bloomberg

Tariffs and climate

Japan Times reports Trump and Congress are set to clash over the economic cost of tariffs. Curbing his tariff powers will be hard. The EU's Copernicus agency said the world is "virtually certain" to exceed 1.5C of average warming in 2026, with October the warmest on record at 1.75C above pre-industrial levels (FT). Poorer countries bear the most climate risk.

Sources: Japan Times, FT

Africa

The headline is South Africa's election. The eastern Congo war is becoming more political, and the Sahel remains under jihadist pressure.

South Africa: ANC near 32% and a scramble for coalitions

In the 4 November municipal elections, the ANC is at about 32% and the Democratic Alliance (DA) at about 24%, with counts nearly complete (Il Sole 24 Ore). That is the ANC's worst result ever. The ANC already lost its parliamentary majority in 2024 and now governs nationally with the DA. Most big cities, including Johannesburg and Pretoria, are expected to need coalitions. Councils must meet within 14 days of official results, and the law provides for fresh polls where coalitions fail (reported before the vote). Voters cited water and power outages and insecurity. Unemployment is 33.6%.

Why it matters: Municipal coalition fights could spill into the national ANC-DA partnership.

Market impact: The rand and South African bonds are sensitive to any threat to that partnership.

Sources: Il Sole 24 Ore, Al Jazeera

DR Congo: Kabila joins the M23 camp as diplomacy pushes back

Former president Joseph Kabila joined M23 in a new rebel coalition last month (Al Jazeera). The group has reportedly threatened a radio station and said it will vet broadcasts (CPJ). On 6 November the African Union and the EU, meeting in Addis Ababa, called for Rwanda's army to withdraw from Congolese territory and end support for M23. Suspected ADF rebels killed at least 24 civilians near Beni in North Kivu. Talks between Kinshasa and M23 in Qatar were expected this month. Analysts warn the new coalition could undermine them.

Why it matters: The east holds major copper, cobalt and coltan supplies and attracts US, Chinese and Gulf interest. A Kabila-backed rebel alliance makes it harder to settle.

Sources: Al Jazeera, CPJ, Africa Center

Sahel and Nigeria

- **Mali:** JNIM, al-Qaeda's Sahel affiliate, claimed an IED attack on 2 November on a vehicle carrying Malian and Russian Africa Corps personnel in Mopti. Its fuel blockade has pushed the economy close to a standstill.
- **Nigeria:** A high court sacked the leadership of the opposition ADC party months before elections, putting Atiku Abubakar's candidacy in doubt (BBC).
- **Tanzania:** Opposition leader Tundu Lissu was found guilty of inciting unrest but acquitted of treason (BBC).

Sources: BBC, BBC

Latin America

Paraguay is in a full constitutional crisis. The wider region is shaped by Brazil's economic team and the Pope's tour.

Paraguay: President Peña ousted and under house arrest after a bank collapse

Paraguay's Senate voted unanimously to impeach President Santiago Peña. His resignation offer did not stop the proceedings, and he loses his claim to a life Senate seat (Handelsblatt). Prosecutors ordered his arrest, and the BBC reports he is under house arrest. Vice President Pedro Alliana succeeds him (Il Sole 24 Ore). Overnight, protesters gathered outside Peña's home, demanding prison, not house arrest. One police officer was injured.

The trigger was Ueno Bank, which the central bank took over on 3 November after its solvency ratio fell below half the legal minimum. About three million customers lost access to their money. Reports say Peña was a business partner of the parent conglomerate until March 2025. The bank denies he was a shareholder.

Why it matters: Paraguay is a stable US and Taiwan partner, and a bank collapse has brought down a president within days. Depositors' trust is the main test.

Watch: Whether depositors are paid, and what Alliana does with the government.

Sources: Handelsblatt, Il Sole 24 Ore, BBC, ANSA

Pope Leo in Uruguay's poorest district

Pope Leo XIV visited Casavalle in Montevideo, one of the region's poorest districts. He will donate homes to replace shacks (ANSA). The BBC reports he is in "pretty good health", three weeks after lung cancer surgery.

Sources: ANSA, BBC

Brazil: finance minister choice and the Braskem debt row

Lula will probably pick an ally, trying to calm investors (Bloomberg). Braskem, the petrochemicals group, faces a snag: its owners pulled a capital injection offer in out-of-court debt talks.

Market impact: Brazilian bonds and the real are sensitive to the finance minister choice. Copper premiums in Asia at records show tight supply, which matters for Chile and Peru (Bloomberg).

Sources: Bloomberg, Bloomberg, Bloomberg

IV Security, Technology & Space

Defence & Security

Russia's strikes on Ukrainian energy sites continue as diplomacy builds toward three-way talks in Abu Dhabi on 10-11 November. Meanwhile, Europe is uneasy about what Washington might agree with Moscow.

Russian missiles hit Kyiv's energy sites and bridges again

Ukraine's capital and the surrounding region came under a Russian missile barrage overnight, Bloomberg reports. Targets included energy facilities and bridges, and Naftogaz (Ukraine's state gas company) facilities were damaged. At least one civilian was killed and several were injured. Bloomberg's headline also says Ukraine hit the Saratov oil refinery in Russia. Both sides' claims are unverified. Earlier this week Ukraine reportedly hit a sixth Russian refinery in a week.

Why it matters: Each side is trying to wear down the other's energy system before winter. Moscow wants to cut heat and power in Ukrainian cities. Kyiv wants to cut Russian fuel output and export income.

Watch: Damage reports from Naftogaz and the grid operator, and whether the strikes affect the Abu Dhabi talks.

Sources: Bloomberg

Europe fears a US-Russia security deal, and insists Putin end the war first

The FT reports that European officials fear Washington could strike a security agreement with Moscow that undermines NATO and restores a Russian sphere of influence. The Japan Times reports that European governments insist Russia must end the war before its security "concerns" are discussed. That puts them at odds with the US on how to end the conflict. Both reports rest on unnamed officials. No text of any US-Russia deal has been published.

Why it matters: Russia has long demanded limits on NATO's presence in Eastern Europe. If Washington accepts that framing, it could weaken the alliance's eastern flank without any NATO vote.

For Europe & Italy: Rome has backed Ukraine while pushing for a negotiated end. It would need to choose between the US line and the European one if they diverge.

Watch: Any US readout of Abu Dhabi, and a European response ahead of the next EU and NATO meetings.

Sources: FT, Japan Times

Kyiv says Russia already uses its "Rassvet" satellites for military communications

Ukrainian military intelligence (GUR) says Russia has launched 32 Rassvet satellites this year, in March and July. It says Russia uses them over Ukraine, with intermittent coverage as satellites pass overhead. GUR says the network could let operators steer drones mid-flight and make them harder to jam. Ukraine has sanctioned 10 linked companies and says Chinese components are used. Russia's defence ministry and the project coordinator, Bureau 1440, did not respond to requests for comment.

Why it matters: Starlink has more than 10,000 satellites, and Rassvet is far smaller. Even a limited Russian link, however, reduces its dependence on foreign services.

Sources: Defense News

US Democrats signal a defence-budget fight

Rep. Adam Smith, expected to chair the House Armed Services Committee, wants total defence spending held to $1 trillion in fiscal 2027, according to Defense One. The Pentagon's base request is $1.1 trillion. The administration had counted on a reconciliation bill (a budget route that avoids a Senate filibuster) for $350 billion of its $1.5 trillion plan. That bill now looks unlikely to pass. The government runs on a stopgap funding law through 11 December.

Why it matters: Munitions (about $76 billion in the bill) and Golden Dome missile defence (about $17 billion) were counting on that money.

Market impact: US defence contractors face budget uncertainty. The article does not report a share-price move.

Sources: Defense One

Other moves

- **China:** Xi Jinping has promoted Zhang Shengmin, a military discipline official, as the Politburo's sole military member, the Japan Times reports. It comes ahead of the army's centenary in August 2027. Japan Times
- **UK:** Zelensky will receive a UK state visit in 2027, marking five years since the invasion, the FT reports. FT

Cyber & Information Warfare

Pro-Russian hackers publish a list of 18 "enemies", including Italy's foreign minister

The pro-Russian group NoName057(16) posted a list on a Tor-only darkweb page called "Tribunale". It names 18 Europeans as "enemies of the Russian Federation", Il Sole 24 Ore reports. Antonio Tajani is at the top. Others include Rome prosecutor Francesco Lo Voi, Polizia Postale chief Ivano Gabrielli, Eurojust president Michael Schmid, and three German journalists. The page shows phone numbers, emails and Telegram handles, and offers payment for more data. Rome prosecutors have opened an investigation.

Why it matters: The list follows Operation Eastwood (July 2025), an international crackdown on NoName coordinated by Europol and Eurojust. Doxxing (publishing private details) aims to intimidate officials and invite harassment.

For Europe & Italy: The targets are Italian and EU justice and security officials. Expect heightened protection and possible phishing aimed at them.

Sources: Il Sole 24 Ore

Rosstat hack delays Russian economic data

Bloomberg reports that major Russian economic reports will be delayed through at least 13 November after a cyberattack on the statistics agency Rosstat. Rosstat confirmed attacks between 29 October and 1 November but says it found no compromised databases. Two groups, Cyber Partisans and Silent Crow, claim to have stolen between 10 and 23 TB. Those claims are unverified.

Market impact: Delayed inflation and GDP data leave rouble and Russian bond traders with less information.

Sources: Bloomberg, The Moscow Times

European agencies probe a Russian origin for bomb hoaxes

Security agencies are examining whether coordinated bomb threats started in Russia. The FT says the working hypothesis is pro-Kremlin activists or hacking groups. Threats hit flights on 3-4 November, and an Italian Air Force jet escorted a Ryanair flight into Rome. Al Jazeera reports that no explosives were found. No government has formally attributed the threats.

Sources: FT, Al Jazeera

Nvidia story: new details

The New York Times reported that US intelligence warned the administration that a woman close to Jensen Huang worked for China's Ministry of State Security. The FT adds that US officials believe the two had a romantic relationship. Neither Huang nor Beijing has been quoted in the feed summaries.

Sources: FT, Bloomberg

Fact Check

No fact-checker I could find has yet examined the three claims below. They are checked here against reporting and official statements.

The claim: "Russia is behind the European bomb-threat wave"

Circulated in social posts and some commentary after the 3-4 November flight and school threats.

Verdict: Unproven

What is actually true: The FT reports that security agencies are investigating whether the hoaxes started in Russia. Their working hypothesis is pro-Kremlin activists or hackers. Reporting on school threats in Hungary and Slovenia points to a Russian-language account. Al Jazeera notes that no government has publicly blamed any country, and Moscow and Tehran deny hybrid campaigns. Bomb hoaxes are cheap, so many actors could send them.

Why it matters: Pro-Ukraine and anti-Russian accounts want the threats pinned on Moscow. Attribution without evidence can be repeated as fact.

Sources: FT, Al Jazeera

The claim: hackers stole 23 TB from Russia's statistics agency

Spread via the hacker groups' own channels and picked up by tech outlets.

Verdict: Unproven

What is actually true: Cyber Partisans claim more than 10 TB and Silent Crow about 23 TB, so their numbers do not match. Rosstat confirms attacks but denies any database compromise or leak of protected data. Neither side has been independently verified. Bloomberg confirms the disruption: reports are delayed.

Why it matters: Hacktivist groups inflate figures for publicity. Moscow also has reasons to minimise damage.

Sources: Bloomberg

The claim: Russia now has a "Starlink rival" in operation

Promoted by Russian officials and state-linked media.

Verdict: Misleading

What is actually true: Rassvet has about 32 satellites launched this year, against more than 10,000 for Starlink. Ukrainian intelligence says coverage is intermittent. Bureau 1440 plans more than 900 satellites by 2035. Ukraine's claims about military use are also unverified.

Why it matters: Both Moscow and Kyiv have reasons to exaggerate: one to show strength, the other to attract sanctions.

Sources: Defense News

Technology & AI

AI valuations are under pressure after Thursday's sell-off, but money is still flowing to the biggest labs. Chips are also caught in US-China politics.

OpenAI closes $11 billion of a smaller round at a $1.25 trillion valuation

OpenAI received about $11 billion on Friday. This is the first part of a round valuing it at $1.25 trillion, Bloomberg reports, citing unnamed people. The round could reach $20 billion. Handelsblatt says OpenAI had aimed for over $30 billion at about $1.4 trillion and scaled back amid the AI sell-off. OpenAI had not commented. The FT says the firm XN has a $5.3 billion stake in Anthropic and plans to add to it. Handelsblatt reports that investors value Anthropic's planned IPO at about $1.5 trillion, down from an expected $2 trillion.

Why it matters: Falling targets suggest investors are more cautious about AI spending. Funding still reaches the leading labs.

Market impact: The S&P 500 fell 4.36% on Thursday on fears of tougher AI regulation. Bloomberg says chip stocks rebounded on Friday. Whether the rebound holds is uncertain.

Watch: Closing of the remaining funds, and Anthropic's IPO timing.

Sources: Bloomberg, Handelsblatt, FT

Cloud deals shift: Microsoft reportedly ends an AI deal with Oracle

Bloomberg reports, per Handelsblatt, that Microsoft ended an AI contract with Oracle because older Nvidia chips no longer met its needs. It is also reviewing other multibillion-dollar cloud partnerships. Separately, the FT reported on 4 November that Oracle scrapped a roughly $7 billion deal to lease up to 100,000 AI chips to Tencent after US officials raised concerns. The FT cited two sources, and Reuters could not verify it. Overseas chip leasing remains legal under existing rules.

Why it matters: Cloud rental is a route around US export controls. Washington is applying pressure without a new rule.

Market impact: Oracle is directly exposed. Data-centre delays could create an "air gap" in chip demand, UBS's Nadia Lovell told Bloomberg.

Sources: Handelsblatt, The Next Web

Chip and robotics investment hits political limits

Onsemi scrapped a Czech expansion once valued at up to $2 billion, Bloomberg reports. That is a blow to EU chip ambitions. SoftBank and ABB are weighing a China carve-out to rescue their robotics deal, which Beijing blocked. The deal was announced in October 2025 at about $5.4 billion.

For Europe & Italy: The EU Chips Act aims to raise Europe's share of global chip production. Italian chip projects face the same investment risks.

Sources: Bloomberg, Bloomberg

> **Background — EU AI Act delay:** Political agreement in May 2026 delayed the Act's high-risk rules. Standalone systems now fall in December 2027 and embedded ones in August 2028. I could not confirm formal adoption.

Other moves

- **Groq:** The AI-chip and data-centre firm is seeking to double its valuation to $8 billion. Bloomberg

- **Japan:** Tokyo picked 28 priority items, including chips and AI, for a ¥370 trillion investment plan. Japan Times
- **US-China AI talks:** Rep. James Walkinshaw says a "permanent, serious" dialogue is needed on AI agents. Defense One

Space

Space news today centres on military communications. The US is building a satellite data network, and Russia is rolling out its own.

Pentagon picks Viasat to run the Golden Dome data network's control centre

The Space Force and the Golden Dome office awarded Viasat an IDIQ contract (a flexible, indefinite-quantity contract) worth up to $450 million. It covers a Mission Operations Center for the Space Data Network Backbone. The centre will act like a software-run exchange. It will route data between constellations and reroute around congestion or jamming. SpaceX is building the backbone's low-Earth-orbit satellites. The network's near-term focus is Golden Dome, the planned missile-defence shield.

Why it matters: The US is putting a multi-vendor control layer on top of a SpaceX-built network.

Market impact: Viasat gains a contract ceiling. The sources do not report a share-price move.

Sources: Breaking Defense

Key Space Force satellites cannot talk to each other

Breaking Defense, citing sources, says the SpaceX-built backbone cannot directly exchange data with other Pentagon communications and missile-tracking satellites. A fix may need 12 or 13 "Space Exchange Point" satellites and cost about $1 billion. That figure comes from sources, not an official estimate.

Watch: Whether the Space Force confirms the plan and funds it, given the budget fight over Golden Dome.

Sources: Breaking Defense

Musk: SpaceX to depend less on US government revenue

Musk said US government-funded contracts will account for under 10% of SpaceX revenue and keep shrinking, Bloomberg reports. SpaceX is turning to compute deals. Defense One notes SpaceX has received $6.5 billion for the Space-Based Air Moving Target Indicator and the Space Data Network.

Sources: Bloomberg, Defense One

Russia's Rassvet constellation

See Defence & Security. Bureau 1440 targets more than 900 satellites by 2035. Moscow plans more launches before the end of 2026.

Watch: Trackers list a classified Falcon 9 mission around 13 November. ULA has talked of returning Vulcan to flight in mid-November. Both dates can slip.

V Economy, Markets & Energy

Global Economy & Central Banks

The big theme is that central banks are tightening again because of energy-driven inflation. The Bank of England has already moved, and the Fed and ECB are priced to follow in December.

US jobs beat forecasts and strengthen the case for a Fed hike

The US added 165,000 jobs in October, against about 65,000 expected. Unemployment fell to 4.1% from 4.2%, and August and September were revised up by a combined 84,000. Average hourly earnings rose 3.1% year on year, down from 3.2%. The Fed held its rate at 3.75%-4.00% last week. The CME FedWatch tool, which converts futures prices into probabilities, now shows about a 77% chance of a December hike, up from about 67% a few days earlier. Third-quarter GDP grew at a 3.4% annualised rate. The US 2-year yield is 4.78% and the 10-year is 4.86%.

Why it matters: The US is creating jobs even as the labour force shrinks, so the Fed sees little slack. Markets are betting on a rate rise, not a cut. This week's rout in AI stocks has not changed that.

For Europe & Italy: Higher US yields and a firmer dollar (the DXY index is at 102.3) add pressure on the ECB and on euro-area borrowing costs.

Watch: US consumer prices for October, due Tuesday 10 November. The Fed's December meeting follows.

Sources: Il Sole 24 Ore

ECB: hold in October, December in play, and a two-horse race for the presidency

The ECB kept its deposit rate at 2.50% on 29 October. Christine Lagarde said "the direction of travel is clear" unless new developments change the assessment. Earlier this week she said December will decide whether the bank hikes again. Her departure on 7 February 2027 has set up a contest between Spain's Pablo Hernández de Cos and the

Netherlands' Klaas Knot, according to Bloomberg and Politico. De Cos said today that policymakers must stay alert to inflation risks from high energy prices.

Why it matters: The next ECB president will inherit an inflation fight driven by energy. Hernández de Cos' comments show that a candidate seen as more dovish still talks about vigilance. Knot is generally viewed as more hawkish, which is Bloomberg's characterisation, not an official position.

For Europe & Italy: Higher rates raise the cost of servicing Italian debt and of variable-rate mortgages.

Watch: The Eurogroup meets on 9 November to review names. The ECB's next decision is 17 December.

Sources: ECB, Bloomberg, Politico Europe

Other central banks and data

- **Bank of England:** It raised Bank Rate by 0.25 points to 4% on 5 November, by 8-1. Catherine Mann wanted 0.5 points. This is background from the Bank's own summary. (BoE)
- **China:** The planning agency NDRC flagged weak demand as a challenge while policymakers study next year's measures. The central bank added to its gold reserves in October, extending a buying streak to two years. (Bloomberg, Bloomberg)
- **Canada:** Unemployment rose to 6.7%, and traders trimmed bets on a rate hike. (Bloomberg)

Markets & Finance

Friday was a day of two halves. Europe fell as the AI-driven sell-off spread, then Wall Street staged a partial rebound.

Europe closes lower; Wall Street rebounds on chips

Facts: Frankfurt's DAX fell 1.92% to 25,820. The Euro Stoxx 50 lost 0.98%, the FTSE MIB in Milan 0.90% to 50,053, Paris 0.81% and London 1.01%. ANSA reported selling in financial stocks, while tech recovered. In the US the S&P 500 rose 0.31% and the Nasdaq 100 1.35% as dip buyers returned to chipmakers. Both indices are still down

on the week, by 2.68% and 4.91%. The VIX, the US volatility gauge, fell 9% on the day to 25.64 but is up 32% on the week. Thursday's S&P drop of 4.36% was covered yesterday.

Why it matters: Hard data pulled in opposite directions. The strong jobs report reinforced bets on a Fed hike, while investors worried about tougher scrutiny of AI and data centres. Bloomberg's podcast said it is unclear whether the tech rebound will hold. That is a view, not a fact.

Sources: ANSA, Bloomberg, BBC

Italian spread narrows to 107 basis points

The BTP-Bund spread closed at 107.4 basis points and the ten-year BTP yield at 4.32%. A basis point is one hundredth of a percentage point, and the spread is the extra yield Italy pays over Germany. Italy held up despite the equity fall, helped by a drop in gas prices that eased pressure on Italian inflation.

For Europe & Italy: The spread is a gauge of perceived Italian risk. League infighting over the budget has not moved it so far.

Sources: ANSA

Currencies, metals, crypto

- **FX:** EUR/USD is near 1.12. USD/JPY is 158.43, a weak yen that raises the risk of Japanese intervention.
- **Gold:** It is at about $4,075, up 4.5% on the week after falling almost 7% in October.
- **Silver and copper:** Silver is at $51.80 and copper at $6.22 a pound. Trafigura is buying copper for Asia, where spot premiums are at records.
- **Bitcoin:** It is at about $75,800, nearly flat.

Deals and earnings

SoftBank and ABB are weighing a carve-out of the Chinese part of their robotics deal, which Beijing blocked. Groq is seeking to double its valuation to $8 billion. Airbnb rose 12% and Elanco about 8% on results. (Bloomberg)

Trade, Tariffs & Sanctions

US presses China to honour the Busan deal as a Trump-Xi meeting nears

Treasury Secretary Scott Bessent and US Trade Representative Jamieson Greer spoke with Vice Premier He Lifeng on Friday. They said Beijing is not delivering the rare earths and other critical products it promised, and is buying too few US farm goods. The FT reports Washington wants compliance "immediately". China's commerce ministry said on Saturday that it strongly opposes new US sanctions on two Chinese companies over their dealings with a third party. It "reserves the right" to take "necessary measures". The feed does not name the firms. Handelsblatt says Trump and Xi are due to meet at the APEC summit in Shenzhen on 18-19 November.

> **Background — the Busan deal:** In Busan, South Korea, on about 30 October 2025, Trump and Xi agreed a truce. According to China Briefing, China suspended for a year its rare-earth export controls announced on 9 October 2025, and both sides eased some listings. Rare earths are metals needed for magnets in cars, wind turbines and weapons, and China dominates their processing. That one-year clock makes the next few weeks sensitive. I could not confirm the exact expiry date.

Why it matters: Neither side wants a collapse before the summit, but each is building leverage.

For Europe & Italy: Italian carmakers, machinery makers and component suppliers depend on Chinese magnets and are exposed to any new curbs.

Market impact: Chip, mining and rare-earth stocks tend to react to headlines from this dispute. The feed shows no clear move yet.

Watch: Any Chinese countermeasure, and the Shenzhen summit on 18-19 November.

Sources: Bloomberg, Bloomberg, FT, Handelsblatt, China Briefing

Smaller items

- **ICC sanctions:** Japan is considering paying its International Criminal Court contribution early. If US sanctions are fully implemented as early as April, the court could be cut off from dollar settlements. (Japan Times)
- **Russian supply chains:** Russia will export pig iron through Murmansk for the first time in 30 years, to avoid Ukrainian strikes in the Black Sea. (FT)
- **Midterms:** After the Democratic House win, former senator Joe Manchin urged his party to pass legislation addressing tariffs. Ian Bremmer says the shift to tariffs and subsidies is structural. These are opinions. (Bloomberg)

Energy & Critical Minerals

Oil and gas fall on Iran-deal hopes, but the market is trading on hope

Brent closed near $98.32, down about 16% on the week, and WTI near $90.83. Dutch TTF gas, Europe's benchmark, fell 5.5% on Friday to about €85.6 per megawatt-hour. It is down 17.7% on the week. ANSA ties the fall to bets that the US-Iran conflict will end. Those bets rest on one unnamed diplomat quoted by Bloomberg; there is no signed deal, and the Strait of Hormuz remains closed, as reported in earlier editions. Ukraine's strikes on Russian refineries also continue, according to Handelsblatt.

Why it matters: Prices are still historically high and could turn on a single headline. Analysts quoted in industry press warn Brent could jump if talks fail. That is a scenario, not a forecast.

For Europe & Italy: Europe enters winter with thin gas stocks. A November 3 S&P Global report cites the IEA warning that low storage reduces the buffer against shocks. Codacons calculates the average Italian winter gas bill at €860 per household at current prices. That ranges from €487 in Sicily to €1,300 in Valle d'Aosta, and Codacons

expects tariffs to rise. Confcommercio says companies' electricity spending reached €3.8 billion in the third quarter and calls for cost cuts. In Germany, a third of municipal utilities plan to dismantle their gas grids.

Market impact: Lower gas and oil ease inflation expectations and help importers such as Italy. They hurt producers and energy stocks.

Watch: Any US-Iran text, weather and storage data, and the Abu Dhabi talks on Ukraine on 10-11 November.

Sources: ANSA, ANSA, ANSA, S&P Global, Handelsblatt

Copper is tight in Asia

Trafigura has been buying large volumes of copper to sell into Asia as local supplies run low. Regional premiums for spot cargoes are at record highs. The benchmark price slipped 0.5% to $6.22 a pound, and it is down 3.7% on the week. The gap between a soft headline price and a tight physical market is a warning about supply.

Sources: Bloomberg

Climate

The EU's Copernicus agency says October was the warmest on record, 1.75C above pre-industrial levels. It says 2026 is "virtually certain" to exceed 1.5C on average, according to the FT.

Sources: FT

VI Outlook

Market Implications

Asset or sector	Likely pressure	Driver	Already priced in?
Italian and European banks	Mixed	Higher-rate bets help margins, while the sell-off and political noise hurt	Partly
Defence stocks	Up	Russian strikes, US-Russia deal fears, and a US budget fight that cuts the other way	Partly
Energy stocks	Down	Brent and TTF falling on Iran-deal hopes	Partly
Autos and luxury	Mixed	Lower energy costs help, while rare-earth and China risks and a firmer dollar weigh	No
Utilities	Mixed	Falling gas prices against rate-hike risk	Partly
BTP-Bund spread	Stable to tighter	107.4 bp, helped by cheaper gas; League infighting has not moved it	Largely
Rates (Bund, Treasury)	Up	Strong US jobs, 10-year Treasury at 4.86%, ECB and Fed hike bets	Largely
EUR/USD	Down	Firmer dollar (DXY 102.3), Fed hike odds; the pair is near 1.12	Partly
Oil	Down, with spike risk	Brent about $98 on peace hopes; Hormuz closed	Partly
Gas (TTF)	Down, with spike risk	Down 17.7% on the week; thin EU stocks	Partly
Gold	Mixed	Up about 4.5% on the week to about $4,075; higher yields weigh	Partly
Tech and AI	Mixed	Rebound after the rout; rate and regulation risks	No
Emerging markets	Mixed	Strong dollar and rates against copper strength; Brazil and Paraguay idiosyncratic risks	Partly

What markets already did. European stocks fell on Friday: the DAX lost 1.92%, the FTSE MIB 0.90%, Paris 0.81% and London 1.01%. Wall Street bounced, with the S&P 500 up 0.31% and the Nasdaq 100 up 1.35%. Brent and gas fell sharply. The VIX closed at 25.64, still up 32% on the week.

What could happen next. The central question is whether an Iran deal materialises. It rests on a single diplomatic source. Failure would send energy prices up, revive inflation fears and push rate-hike odds higher. A second driver is US consumer prices on Tuesday 10 November. A hot reading would reinforce the Fed hike path and could hit long-duration tech again.

What would change the picture. A signed US-Iran text and a reopened Hormuz would be the clearest positive for Italian industry and the BTP spread. A US-China rare-earth rupture before Shenzhen, or a new AI-regulation shock, would be the clearest negatives.

Market Opportunities & Risks

Educational overview only. These are not recommendations.

AI infrastructure after the rout

Driver: The Nasdaq 100 is down about 5% on the week after fears of tougher rules on AI and data centres. Chipmakers rebounded on Friday. **Exposure:** Semiconductor and tech ETFs, data-centre operators, and Europe's equipment suppliers. **Risks:** A new regulatory shock, higher rates (which hurt long-duration growth stocks), and debt-funded builders. Groq's executive criticised rivals for relying too heavily on debt markets. **Horizon:** Long-term demand story, short-term volatile. **Priced in?** The sector was crowded, and a VIX above 25 shows nerves remain.

Rate hikes, bonds and Italian banks

Driver: The BoE has hiked, and markets price hikes by the Fed and ECB. **Exposure:** Short-dated government bonds now offer meaningful yields. The ten-year BTP yields 4.32% and the US ten-year 4.86%. Banks usually earn more when rates rise. **Risks:** Falling prices on long

bonds if rates rise further, Italian political noise that widens the spread, and loan losses if growth stalls. **Horizon:** Medium term. **Priced in?** Hike odds are already high, so a surprise on the downside would matter more.

Energy importers and the Iran headline trade

Driver: Brent is down 16% in a week and TTF is down 18% on peace hopes. **Exposure:** Airlines, chemicals and Italian industry benefit if prices fall. Oil producers and energy ETFs lose. **Risks:** The deal is unsigned and Hormuz is closed. A collapse would send prices sharply back up. **Horizon:** Very short term, headline-driven. **Priced in?** Partly, which is why the moves are large.

Gold and industrial metals

Driver: Gold fell almost 7% in October, then rebounded 4.5% this week. China's central bank keeps buying. Copper's physical market is tight. **Exposure:** Gold ETCs, miners, copper producers. **Risks:** Higher real yields hurt gold, and a China slowdown hurts copper. **Horizon:** Medium to long term.

Investing basics: duration

Duration measures how much a bond's price falls when rates rise. A rough rule: a bond with a duration of seven years loses about 7% if yields rise one percentage point. Long BTPs and long Treasuries therefore swing more than short ones. With central banks hiking, duration is the risk to understand before the yield. Spreading maturities and holding some short-dated paper reduces that risk. It does not remove it, and a bond held to maturity still faces inflation and default risk.

Country of the Day

Paraguay

Item	Detail
Population	About 7.1 million (IMF)
GDP and growth	Roughly $50-60bn nominal (IMF vintages differ). Growth was 6.6% in 2025, with 4.4% projected for 2026 (IMF, August)

Item	Detail
Government	Presidential republic; Santiago Peña impeached, Vice President Pedro Alliana succeeds him
Next election	General elections due in 2028
Currency	Guaraní

Paraguay's Senate voted unanimously to impeach Peña. This followed the central bank's 3 November takeover of Ueno Bank, whose solvency ratio had fallen below half the legal minimum. About three million customers lost access to their money. Prosecutors ordered Peña's arrest and he is under house arrest. Protesters outside his home want prison. Reports say he was a business partner of the bank's parent group until March 2025, but the bank denies he was a shareholder.

The economy was one of South America's fastest-growing, driven by agriculture, hydropower from the Itaipú and Yacyretá dams, and consumption. The bank collapse tests depositor trust and the financial sector. Alliana's first moves on depositor payouts will matter most.

Paraguay is a Mercosur member and a close partner of both the US and Taiwan, and it has a large Italian-descended community. For Italy and the EU the immediate effect is limited, but Paraguay is a bellwether for the EU-Mercosur trade relationship. Watch whether the crisis spreads to other Latin American banks or markets.

South Africa

Item	Detail
Population	About 63 million
GDP and growth	Growth was 1.1% in 2025 and 0.5% quarter on quarter in Q1 2026 (Stats SA). The IMF projects about 1.2% for 2026. Unemployment is 33.6%
Government	Coalition of the ANC and the Democratic Alliance (DA); President Cyril Ramaphosa
Next election	National election due in 2029
Currency	Rand

In the 4 November municipal elections the ANC polled about 32% and the DA about 24% with counts nearly complete (Il Sole 24 Ore). The ANC won 45.6% in 2021 and lost its parliamentary majority in 2024. Voters cited water and power outages, insecurity and joblessness. Big cities such as Johannesburg and Pretoria now need coalitions. Councils must meet within 14 days of official results.

The economy is growing slowly but steadily, with a sixth consecutive quarter of growth to Q1 2026. South Africa is Africa's most industrialised economy and a BRICS member. A weaker ANC may limit its foreign-policy room, and local coalition fights could spill into the national partnership.

The EU is South Africa's main trade and investment partner, and Italy is a significant industrial partner. For Italy, South Africa matters for critical minerals such as platinum group metals and manganese. The rand and South African bonds are sensitive to any threat to the coalition.

How Others See It

The US-China dispute over the Busan deal

Viewpoint	How they frame it	Key words they use
US and Western Europe	Treasury Secretary Bessent and Trade Representative Greer told Vice Premier He Lifeng that China must meet its commitments "immediately" (FT, Bloomberg). Handelsblatt notes both sides accuse each other of violations	"Immediately", compliance, rare earths, farm purchases
Russia	No position found in our reports	Not applicable
China	The Commerce Ministry opposes new US sanctions on two Chinese firms and "reserves the right" to take "necessary measures" (official position)	"Strongly opposes", "necessary measures"
Global South and Arab world	Japan Times covers the dispute with a focus on supply chains; Japan describes a shift to "selective" dependence on China	Selective dependence, supply chains

Viewpoint	How they frame it	Key words they use
Italy	Italian manufacturers are exposed to Chinese magnets, a point made in the desk report	Rare earths, exposure

Both sides agree the Busan truce is fragile and that the Shenzhen meeting on 18-19 November matters. The disputed facts are who is violating the deal and by how much. What is verified is the call, the Commerce Ministry statement and the summit dates.

Whether a US-Russia deal would sacrifice European security

Viewpoint	How they frame it	Key words they use
US and Western Europe	Trump says "we are making a lot of progress". Europeans insist Putin end the war first (Japan Times); the FT reports fears of a deal that restores a Russian sphere of influence	"Progress", "end the war", sphere of influence
Russia	Its Defence Ministry says it struck military and energy targets; the Kremlin's stance on talks is not covered in our reports	Strikes on military targets
China	No position found in our reports	Not applicable
Global South and Arab world	The talks are hosted in Abu Dhabi, a Gulf venue; no Gulf statement in our reports	Mediation
Italy	Rome backs Ukraine while pushing for a negotiated end	Negotiated end

The accounts agree that talks happen on 10-11 November without Europe. German Defence Minister Pistorius sees little hope of an early ceasefire. The European fears rest on unnamed officials, and no deal text has been published.

The US-Iran track

Viewpoint	How they frame it	Key words they use
US and Western Europe	CBS reports Iran played down deal hopes after fresh US strikes. Bloomberg's diplomat says Tehran now accepts discussing nuclear issues. The FT sees a US retreat benefiting China	Talks, strikes, retreat
Russia	Not covered in our reports	Not applicable
China	Not covered	Not applicable
Global South and Arab world	Australia's Albanese urged de-escalation. Qatar mediates	De-escalation, mediation
Italy	ANSA stresses Iran's warning of a response "without geographic limits"	"Senza limiti geografici"

Both sides signal openness to talks and readiness to escalate. The unverified point is whether a text exists. Only the market moves are confirmed: gas down 5.5%, Brent down about 16% on the week.

Scenarios

US-Iran talks and energy prices

- **Base case:** Qatar-mediated contacts continue without a signed text, and prices stay volatile with Brent in the high $90s. Likely.
- **Upside:** A text is signed and Hormuz reopens, taking gas well below €85/MWh and easing inflation in Italy. Possible.

- **Downside:** New US strikes or an Iranian response end the talks and prices rebound sharply. Plausible, given Tehran's "without geographic limits" warning.
- **Signposts:** a Qatari statement with a text, tanker movements through Hormuz, and fresh strikes.

Abu Dhabi talks and European security

- **Base case:** Talks produce statements of progress but no ceasefire, and strikes on energy sites continue. Likely.
- **Upside:** A framework with European input and a halt to strikes on energy infrastructure. Unlikely in the short term.
- **Downside:** A US-Russia understanding on security that Europeans reject, opening a transatlantic rift. Possible.
- **Signposts:** US readouts after 11 November, European leaders' statements, and Pistorius' scepticism.

The ECB succession and December rate decision

- **Base case:** Eurogroup ministers review the two names on 9 November, leaders decide later, and the ECB debates a December hike with inflation near 4%. Likely.
- **Upside:** Energy prices keep falling, so the ECB holds in December and the spread stays near 107 basis points. Possible.
- **Downside:** A hot US CPI print and a firmer dollar push the ECB to hike, and a hawkish pick for president lifts Italian borrowing costs. Plausible.
- **Signposts:** US CPI on 10 November, the TTF price, euro-area inflation data and any third nominee.

What to Watch

Date	Event	Why it matters
Sun 8 Nov	CDU leadership meets (Sunday and Monday); India holds a shortened Diwali market session	Germany's presidential choice; Indian market liquidity

Date	Event	Why it matters
Mon 9 Nov	Eurogroup reviews ECB president nominees (Knot, Hernández de Cos)	First step in choosing Lagarde's successor
Mon 9 Nov	Stephen Miller starts as White House chief of staff; Merz expected to put forward Ilse Aigner for German president	US policy direction; Germany's Federal Assembly votes 30 January 2027
9-10 Nov (approx.)	China's October trade and price data	Tests weak demand and rare-earth export flows
Tue 10 Nov	US October CPI	Key for Fed hike odds, the dollar and tech stocks
10-11 Nov	US-Russia-Ukraine talks in Abu Dhabi	Ceasefire prospects; European exclusion
By 13 Nov	Russian Rosstat data delays (at least)	Less visibility on the Russian economy
~13 Nov	Classified Falcon 9 launch; Vulcan return to flight "mid-November" (both can slip)	Space and defence launches
Mid-Nov	Italian cabinet decree on bills ("Bollette bis")	Whether the gas cap is conditional or fixed
18-19 Nov (just beyond window)	Trump-Xi at APEC, Shenzhen	Busan truce and rare earths

Explained

Gas price cap and the TTF benchmark

What it is: TTF (Title Transfer Facility) is the Dutch hub price that sets Europe's wholesale gas benchmark. A cap is a ceiling on what the state lets that price feed into bills.

How it works: Traders buy and sell gas for future delivery at the hub. Suppliers pass the price to customers, and a cap makes the state pay or fix any difference. In Italy, Confcommercio says a €58.9/MWh cap in the "Bollette bis" decree could cut bills by up to 10%.

Analogy: A thermostat limit on a radiator you cannot turn off: the state absorbs the heat above the line.

Why now: TTF is about €85/MWh, well above the cap level, so the cap matters only if the state pays the gap.

Key number: €58.9/MWh.

Fed hike odds and CME FedWatch

What it is: A tool that turns futures prices into the probability of a rate move.

How it works: Traders bet on the average policy rate at a future date. The tool backs out the probabilities. After October's 165,000 jobs it shows about 77% for a December hike, up from about 67%.

Analogy: A bookmaker's odds: they show what the crowd is betting, not what the referee will decide.

Why now: It drives Treasury yields (10-year 4.86%) and the dollar, and pressures the ECB.

Key number: 77%.

BTP-Bund spread and basis points

What it is: The extra yield Italy pays over Germany on ten-year debt, measured in basis points (hundredths of a percentage point).

How it works: Investors demand more yield for riskier borrowers. The spread rises when Italian risk, deficits or politics worry markets. German Bunds are the safe benchmark.

Analogy: The risk premium a bank adds to your mortgage versus its best customer's.

Why now: The spread closed at 107.4 bp and the BTP yield at 4.32% despite League infighting. Italy is in the EU's excessive deficit procedure, with a 2025 deficit of 3.1% of GDP.

Key number: 107.4 basis points.

How the ECB president is chosen

What it is: An institutional process for replacing the head of the euro area's central bank.

How it works: Governments nominate, the Eurogroup gives an opinion, the European Council decides by qualified majority, and Parliament is consulted. The term is eight years, non-renewable.

Analogy: A job shortlist that finance ministers vet before heads of government pick.

Why now: Only Knot and Hernández de Cos were nominated by the 6 November deadline. Lagarde leaves on 7 February 2027.

Key number: Eight years.

Glossary

- **ECB:** European Central Bank, which sets interest rates for the euro area.
- **Eurogroup:** Meeting of euro-area finance ministers, which reviews the ECB nominees.
- **BTP:** Italian government bond.
- **Basis point:** One hundredth of a percentage point.
- **TTF:** Dutch gas hub price, Europe's benchmark.
- **Hormuz:** Strait through which a large share of the world's oil passes. It is closed, as reported in earlier editions.
- **Busan deal:** Truce agreed by Trump and Xi in Busan, South Korea, in about October 2025. China suspended rare-earth export controls for a year.
- **Rare earths:** Metals needed for magnets in cars, turbines and weapons. China dominates their processing.
- **NoName057(16):** Pro-Russian hacker group, targeted in Operation Eastwood in July 2025.
- **Golden Dome:** Planned US missile-defence shield.
- **Excessive deficit procedure:** EU process for countries above the 3%-of-GDP deficit limit. Italy is in it.
- **PNRR:** Italy's share of the EU recovery fund. The tenth and final request, €28.4bn, is under Commission review.

Compiled automatically from reputable news, official and research sources with AI-assisted research and writing. Verify critical facts with the linked sources before acting on them. Not investment advice.